



We see that this is an example of a trending market. However, when the trend started, there were multiple crossovers in a short period in the month of September. Also, the ADX was less than 25. As a result, we would have missed out on the trend. However, now we see that there is a crossover between +DI and -DI in January and the ADX is greater than 25. This is a sign that the trend might be reversing. This was a good indicator to short the asset few sessions ago. We see that the Bearish crossover created an opportunity and we could have shorted the asset. This is typically how ADX produces Trade signals.